

HOUSE BILL 2323

By Alexander

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 4, Part 29, relative to privilege tax on
property development.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-4-2903, is amended by adding the following as a new, appropriately designated subdivision:

() "Municipality" means an incorporated city or a town that does not have a school system or LEA within its jurisdiction;

SECTION 2. Tennessee Code Annotated, Title 67, Chapter 4, Part 29, is amended by adding the following as a new section:

Notwithstanding this part to the contrary, a municipality, by ordinance adopted by its governing body in the manner provided in § 67-4-2904(b), may levy a tax on the privilege of engaging in the act of development within the boundaries of the municipality. Any such tax must be levied at the rate and under the terms, conditions, and limitations contained in §§ 67-4-2908 and 67-4-2909. The taxes collected pursuant to this section must be remitted to the municipal official designated in the ordinance to collect such taxes. The taxes must be placed in a fund designated by the governing body and the proceeds must be used exclusively for the purpose funding a capital improvement program for the construction and improvement of roads, streets, sidewalks, trails, and other similar transportation infrastructure within the municipality. The municipality may adopt administrative guidelines, procedures, regulations, and forms necessary to properly implement, administer, and enforce this section.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.